

.....
1055 Budapest
Tel.: +36 1 391-1400
ugyfelszolgalat@naih.hu
Falk Miksa utca 9-11.
Fax: +36 1 391-1410
www.naih.hu

Case Number: NAIH-372-14/2023

Subject: Decision

H A T A R O Z A T

The National Authority for Data Protection and Freedom of Information (hereinafter: Authority) {...} in response to the application submitted by the applicant (address: {...}; hereinafter: Applicant) received by the Authority on June 28, 2022, against {...} (registered office: {...}; company registration number: {...}; hereinafter: Respondent) regarding the lawfulness of data processing carried out by the Respondent through a camera installed on the property located at {...} (hereinafter: Property), the Authority makes the following decisions:

I.
The Authority grants the Applicant's request and establishes that the Respondent violated Article 12(1) of Regulation (EU) 2016/679 of the European Parliament and of the Council (hereinafter: GDPR), concerning the protection of natural persons with regard to the processing of personal data and the free movement of such data, as well as the repeal of Directive 95/46/EC, by failing to provide easily accessible and transparent information about the data processing carried out through the operation of the camera system.

II.
The Authority grants the Applicant's request and establishes that the Respondent violated Article 13 of the GDPR by failing to provide information about the data processing carried out through the operation of the camera system.

III.
The Authority, based on Article 58(2)(d) of the GDPR, orders the Respondent to amend its information practices related to camera data processing in such a way that it fully complies with the provisions of Article 12(1) and Article 13 of the GDPR within 30 days from the date this decision becomes final.

IV.
Due to the violations established in points I and II, the Authority imposes a data protection fine of 1,000,000 HUF, that is, one million forints

on the Respondent, which must be paid within 30 days from the date this decision becomes final.

* * *

The fine must be paid to the Authority's centralized revenue collection account (10032000-01040425-00000000 Centralized Collection Account IBAN: HU83 1003 2000 0104 0425 0000 0000). When transferring the amount, reference must be made to NAIH-372/2023. FINE.

If the Respondent fails to comply with the fine payment obligation within the deadline, it will be required to pay a late fee. The amount of the late fee corresponds to the statutory interest, which is equal to the central bank base rate valid on the first day of the calendar half-year affected by the delay. In the event of non-payment of the fine and the late fee, the Authority will order the enforcement of the decision, and the fine and late fee will be collected in the manner of taxes. The collection of the fine and late fee as taxes will be carried out by the National Tax and Customs Administration.

The obligation set forth in point III of the decision must be fulfilled by the Respondent by providing

proof to the Authority simultaneously with the fulfillment, that is, within 30 days from the finality of this decision, with supporting evidence confirming the completion of the obligation.

* * *

DECISION

The Authority terminates the procedure regarding the Applicant's request to compel the Respondent to provide access to the camera recordings depicting him.

There is no legal remedy available against this decision and ruling through administrative means; however, it may be contested in an administrative lawsuit with a petition addressed to the Metropolitan Court within 30 days from the communication. The petition must be submitted electronically to the Authority, which will forward it along with the case documents to the court.¹ A request for a hearing must be indicated in the petition. The petition submitted against the ruling terminating the procedure will be assessed by the Metropolitan Court in a simplified procedure, outside of a hearing. For those not entitled to full personal exemption from fees, the administrative lawsuit fee is HUF 30,000, and the subject matter of the lawsuit is subject to fee recording rights. Legal representation is mandatory in proceedings before the Metropolitan Court.

REASONING

I. Subject of the procedure and the request

(1) The Applicant submitted a request for an administrative data protection authority procedure to the Authority on June 27, 2022, in which he objected to the data processing conducted by the Respondent using a camera installed at the property located at {...} (hereinafter: Hotel).

(2) The Applicant stated in his request that he booked accommodation in one of the Hotel's apartments between June 27, 2022, and July 1, 2022. The Applicant became aware, following an argument with the manager, that there was a camera operating at the reception, regarding which, according to the Applicant's statement, no information was posted in the building or on the premises of the accommodation, and no data processing policy was available.

(3) For the above reasons, the Applicant believes it can be established that the Respondent made recordings of him without his consent and prior information.

(4) The Authority issued a call for the Applicant to remedy deficiencies in its decision NAIH-6050-2/2022, which the Applicant complied with on July 22, 2022, meaning that his request became complete on that day, making it suitable for the initiation of an administrative data protection authority procedure.

(5) In his request for an administrative data protection authority procedure, the Applicant requested that the Authority establish the infringement, impose a sanction on the Respondent for failing to fulfill its information obligation, and then specified this by requesting that the Authority hold the Respondent accountable for the data processing rules related to the operation of the camera system.

¹ The initiation of the administrative lawsuit is served by the form named NAIH_K01. The form can be filled out using the general form-filling program (ÁNYK program). The form is accessible and can be downloaded from the Authority's website: <https://www.naih.hu/kozig-hatarozat-birosagi-felulvizsgalata>
3

due to the violation, and also obligate the Respondent to release the camera footage concerning the Applicant.

(6) Considering that the Applicant did not mention in either their application or their statement in response to the request for supplementation that they had submitted a request for a copy of the camera footage in accordance with Article 15(3) of the GDPR to the Respondent, and did not attach any evidence to that effect, the Authority called for proof that such a request had been made to the Respondent. The Applicant did not respond to this call from the Authority.

II. Facts

(7) The Applicant booked accommodation in one of the apartment buildings for the period between June 27 and July 1, 2022. After occupying the accommodation, they noticed that several services at the beach were not operational, which they also mentioned to the Respondent's manager. Following this, an argument ensued between them, and the Applicant left the reception building irritably, closing the door more forcefully than necessary. At that point, the Respondent's manager followed the Applicant and, according to the Applicant's statement, informed them that the events had been recorded by the camera operating at the reception, and also notified the {...} Police Station (hereinafter: Police Station) about the incident.

(8) According to information received from the Police Station, the arriving police patrol did not establish any violation, heard both parties verbally, and then reported the findings via the service radio. No police action was taken at the scene. The Police Station did not initiate proceedings based on the report, and there are no ongoing proceedings regarding the matter. The patrol officers who arrived at the scene were questioned by the Authority and unanimously stated that they did not view any camera footage; according to their recollections, the owner of the Respondent informed them that the camera system did not record footage, only transmitted live images.

(9) The Property has a camera system consisting of four cameras. There are a series of apartment buildings on the Property, while the reception and the office are located in a separate small building, distinct from the accommodations.

(10) One camera is located inside the reception building, covering the reception desk and the area between the desk and the entrance, that is, the part of the building open to customer traffic. The other three cameras are also installed on the reception building. Their field of view includes a bicycle storage area, parking spaces, and partially, less clearly, the terrace of the restaurant in the background, as well as a storage area.

(11) According to the Respondent's statement, the cameras are not connected to a recording unit, meaning that neither image nor sound recording occurs on the property. To support this, the Respondent attached screenshots from the software used to manage the cameras, where the warning "No SD card" is visible in the "Local Storage" menu.

(12) The purpose of operating the camera system and the data processing that occurs as a result is to protect the security of the building being monitored, as well as its property, equipment, technical items, valuables, to preserve their value and condition, as well as to protect the life, physical integrity, and property of individuals present in the monitored area, and to prevent unlawful acts that cause damage and to detect identified violations.

(13) According to the Respondent's position, data processing is necessary for the prevention of thefts and accidents and for the protection of property. The Respondent believes that the cameras...

4

were installed and their field of view was adjusted to be suitable for achieving the above-mentioned purposes. According to the Respondent, the camera data processing proportionately restricts the rights and freedoms of the data subjects, the cameras "do not focus on individual guests," and the specified data processing purposes would not be achievable, or would only be achievable with lesser effectiveness, in the absence of camera surveillance.

(14)

Regarding the necessity of operating the camera system and its suitability for achieving the purpose—considering that the cameras do not record images or sound—the Respondent stated that the reception desk is high, therefore, when the receptionist is seated, they do not have a good view from behind the desk and cannot see the outdoor area. Consequently, the manager of the apartment park can monitor events occurring in the area around the reception, which is not used by guests for relaxation, from the office behind the reception on their computer. The live images can only be viewed by the receptionist and the manager of the apartment park.

(15)

The Respondent also conducted a balancing test to support the legality of the data processing.

(16)

According to the Respondent's statement regarding camera data processing, the data subjects are informed about the camera data processing through warning signs, which have been placed at the external gate of the Property, inside and outside the reception building, and the policy regarding camera data processing is also accessible at the reception desk. The sign placed outside the reception building is not at the entrance but on another wall of the building, at a small window marked with a reception sign. The signs contain the following text: "WARNING! Area monitored by security camera and alarm!" Additionally, there is a pictogram of a camera and an alarm. According to the Respondent, therefore, the data subjects are not taken by surprise by the data processing.

(17)

In contrast, the Applicant attached three photographs taken on June 29, 2022, which indicate that on the day the photographs were taken, the sign alerting to camera surveillance was not yet placed on the reception building.

(18)

The Respondent also provided a copy of the camera policy made available at the reception to the Authority, which, according to the date indicated on it, was issued on May 14, 2022.

(19)

In relation to the Applicant's access request, the Respondent attached an email correspondence conducted with the Applicant; however, it does not mention any data protection issues or access requests.

III. Applicable Legislation

(20)

According to Article 2(1) of the GDPR, the GDPR must be applied to the data processing in this case.

(21)

GDPR Article 4(1): "personal data": any information relating to an identified or identifiable natural person ("data subject"); an identifiable natural person is one who can be identified, directly or indirectly, particularly by reference to an identifier, such as a name, an identification number, location data, an online identifier, or to one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person;

(22)

GDPR Article 4(2): "processing": any operation or set of operations which is performed on personal data or on sets of personal data, whether or not by automated means, such as collection, recording, organization, structuring, storage, adaptation or alteration, retrieval, consultation, use, disclosure by transmission, dissemination or otherwise making available, alignment or combination, restriction, erasure or destruction;

5

by making it accessible in such a way, coordination or connection, restriction, deletion, or destruction;

(23)

GDPR Article 12(1): The data controller shall take appropriate measures to provide the data subject with all information regarding the processing of personal data referred to in Articles 13 and 14, as well as all information under Articles 15–22 and 34, in a concise, transparent, intelligible, and easily accessible form, using clear and plain language, especially in the case of any information addressed to children. The information shall be provided in writing or by other means – including, where appropriate, electronically. Upon request of the data subject, oral information may also be provided, provided that the identity of the data subject has been verified by other means.

(24)

GDPR Article 13: (1) Where personal data is collected from the data subject, the data controller shall

provide the data subject with the following information at the time of obtaining the personal data:

- a) the identity and contact details of the data controller and, where applicable, of the data controller's representative;
- b) the contact details of the data protection officer, where applicable;
- c) the purposes of the intended processing of the personal data and the legal basis for the processing;
- d) where the processing is based on point (f) of Article 6(1), the legitimate interests pursued by the data controller or by a third party;
- e) where applicable, the recipients of the personal data or the categories of recipients, if any;
- f) where applicable, the fact that the data controller intends to transfer personal data to a third country or an international organization, as well as the existence or absence of an adequacy decision by the Commission, or in the case of transfers referred to in Article 46, Article 47, or the second subparagraph of Article 49(1), the identification of appropriate and suitable safeguards, as well as reference to the means of obtaining a copy of those safeguards or the means by which they are made available.

(2) In addition to the information referred to in paragraph (1), the data controller shall, at the time of obtaining the personal data, provide the data subject with the following additional information to ensure fair and transparent processing:

- a) the period for which the personal data will be stored, or if that is not possible, the criteria used to determine that period;
- b) the data subject's right to request from the data controller access to personal data concerning them, the rectification of such data, the erasure of such data, or the restriction of processing concerning them, and to object to such processing, as well as the right to data portability;
- c) where the processing is based on point (a) of Article 6(1) or point (a) of Article 9(2), the right to withdraw consent at any time, without affecting the lawfulness of processing based on consent before its withdrawal;
- d) the right to lodge a complaint with a supervisory authority;
- e) whether the provision of personal data is a statutory or contractual requirement or a requirement necessary to enter into a contract, as well as whether the data subject is obliged to provide the personal data and the possible consequences of failing to provide such data;
- f) the existence of automated decision-making, including profiling, as referred to in Article 22(1) and (4), and at least in those cases, meaningful information about the logic involved, as well as the significance and the envisaged consequences of such processing for the data subject.

6

(3) If the data controller intends to carry out further processing of personal data for purposes other than those for which the data was collected, they must inform the data subject about this different purpose and all relevant supplementary information mentioned in paragraph (2) prior to the further processing.

(4) The provisions of paragraphs (1), (2), and (3) shall not apply if and to the extent that the data subject already has the information.

(25)

GDPR Article 15, paragraph (1): The data subject has the right to obtain from the data controller confirmation as to whether or not personal data concerning them is being processed, and, if such processing is occurring, to access the personal data and the following information:

- a) the purposes of the processing;
- b) the categories of personal data concerned;
- c) the recipients or categories of recipients to whom the personal data have been or will be disclosed, including particularly third country recipients and international organizations;
- d) where applicable, the envisaged duration for which the personal data will be stored, or, if that is not possible, the criteria used to determine that duration;
- e) the existence of the data subject's right to request from the data controller rectification, erasure, or restriction of processing of personal data concerning them, and to object to such processing;
- f) the right to lodge a complaint with a supervisory authority;
- g) if the data has not been collected from the data subject, all available information as to its source;

h) the existence of automated decision-making, including profiling, referred to in Articles 22(1) and (4), and at least in those cases, meaningful information about the logic involved, as well as the significance and the envisaged consequences of such processing for the data subject.

(26)

GDPR Article 58, paragraph (2), points b), c), and i): Acting in its corrective capacity, the supervisory authority:

b) shall impose an administrative fine on the data controller or processor if their processing activities have infringed the provisions of this Regulation;

d) shall instruct the data controller or processor to bring their processing operations into compliance with the provisions of this Regulation – in a specified manner and within a specified time frame, where appropriate;

i) shall impose an administrative fine in accordance with Article 83, depending on the circumstances of the case, in addition to or instead of the measures mentioned in this paragraph;

(27)

GDPR Article 77, paragraph (1): Without prejudice to any other administrative or judicial remedy, every data subject shall have the right to lodge a complaint with a supervisory authority – in particular in the Member State of their habitual residence, their place of work, or the place of the alleged infringement – if the data subject considers that the processing of personal data concerning them infringes this Regulation.

(28)

GDPR Article 83, paragraphs (2)-(3): Administrative fines shall be imposed depending on the circumstances of the case, in addition to or instead of the measures referred to in Article 58(2)(a)–(h) and (j). When deciding whether to impose an administrative fine and determining the amount of the administrative fine, the following shall be taken into account in each individual case:

a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purposes of the processing in question, as well as the number of data subjects affected by the infringement and the level of damage suffered by them;

7

b) the intentional or negligent nature of the infringement;

c) any measures taken by the data controller or the data processor to mitigate the damage suffered by the data subjects;

d) the degree of responsibility of the data controller or the data processor, taking into account the technical and organizational measures implemented by them pursuant to Articles 25 and 32;

e) any relevant infringements previously committed by the data controller or the data processor;

f) the extent of cooperation with the supervisory authority in remedying the infringement and mitigating any potentially negative effects of the infringement;

g) the categories of personal data affected by the infringement;

h) how the supervisory authority became aware of the infringement, particularly whether the data controller or the data processor reported the infringement, and if so, with what level of detail;

i) if any measures referred to in Article 58(2) were previously imposed on the data controller or data processor in relation to the same subject matter, compliance with those measures;

j) whether the data controller or the data processor adhered to approved codes of conduct under Article 40 or approved certification mechanisms under Article 42; and

k) any other aggravating or mitigating factors relevant to the circumstances of the case, such as financial benefits gained or losses avoided as a direct or indirect consequence of the infringement.

(29)

Article 83(5)(b) of the GDPR: The following infringements shall be subject to administrative fines of up to EUR 20,000,000, or in the case of enterprises, an amount not exceeding 4% of the total worldwide annual turnover of the preceding financial year, whichever is higher, in accordance with paragraph (2):

a) the rights of data subjects under Articles 12 to 22;

(30)

Section 2(2) of the Infotv.: The processing of personal data falling under the scope of Regulation (EU) 2016/679 of the European Parliament and of the Council (hereinafter: General Data Protection Regulation) shall be governed by the General Data Protection Regulation as specified in Chapters III-V and VI/A, as well as in points 3, 4, 6, 11, 12, 13, 16, 17, 21, 23-24 of Section 3, in paragraph (5) of Section 4, in paragraphs (3)-(5), (7) and (8) of Section 5, in paragraph (2) of Section 13, in Section 23, in Section 25, in paragraphs (3), (4) and (6) of Section 25/G, in paragraph (2) of Section 25/H, in paragraph (2) of Section 25/M, in Section 25/N, in paragraph (1) of Section 51/A, in Sections 52-54, in paragraphs (1)-(2) of Section 55, in Sections 56-60, in paragraphs (1)-(3) and (6) of Section 60/A, in points a) and c) of paragraph (1) of Section 61, in paragraphs (2) and (3) of Section 61, in point b) of paragraph (4) and in paragraphs (6)-(10) of Section 61, in Sections 62-71, in Section 72, and in paragraphs (1)-(5) of Section 75, in Section 75/A, and in the Annex.

(31)

According to Section 60(1) of the Infotv., in order to ensure the enforcement of the right to the protection of personal data, the Authority shall initiate a data protection authority procedure at the request of the data subject and may also initiate a data protection authority procedure ex officio.

(32)

Section 60(2) of the Infotv.: A request for the initiation of a data protection authority procedure may be submitted in the cases specified in Article 77(1) of the General Data Protection Regulation and in point b) of Section 22.

(33)

Section 75/A of the Infotv.: The Authority shall exercise the powers set out in paragraphs (2)-(6) of Article 83 of the General Data Protection Regulation, taking into account the principle of proportionality, particularly in cases of first-time infringement of provisions regarding the processing of personal data as defined in legislation or in mandatory legal acts of the European Union.

8

Regarding the remedy for the infringement – in accordance with Article 58 of the General Data Protection Regulation – action is primarily taken by warning the data controller or data processor.

(34)

The rules of Act CL of 2016 on General Administrative Procedure (hereinafter: Ákr.) shall apply to the data protection authority's procedure, with the supplements defined in the Infotv. and the deviations according to the General Data Protection Regulation.

(35)

According to Section 47 (1) c) of the Ákr., the authority shall terminate the procedure if it has become unnecessary.

IV. Decision

IV.1. Information on Camera Data Processing

(36)

The Applicant objected in their application that they did not receive adequate information about the operation of the camera system and the data processing carried out in this way, thus it was not certain whether the cameras were recording images or not. In their request for a data protection authority procedure, the Applicant asked the Authority to establish the infringement, impose a sanction on the Applicant for failing to fulfill the information obligation, and then specified that the Authority should hold the Applicant accountable for violating the data processing rules related to the operation of the camera system. However, the Applicant never objected in their submissions that the Applicant did not have a legal basis for operating the cameras, and although the Applicant referred to the lack of consent, this alone does not affect the legality of the data processing, since the legal basis for data processing carried out through the camera system is typically the legitimate interest of the data controller; on the other hand, in their specific request for remedying the infringement, they only presented a request regarding the information about the data processing.

(37)

In the case of data processing carried out through a camera system, the data controller collects personal data from the data subject, therefore the data controller must fulfill the information obligation under Article 13 of the GDPR.

(38)

Consequently, the Authority only examines whether the Applicant complied with the information obligation under Article 13 of the GDPR during the Applicant's stay at the accommodation. Further information on the information obligations of data controllers operating camera systems is contained in the European Data Protection Board's Guidelines 3/2019 on the processing of personal data through video devices (hereinafter: 3/2019 Guidelines),² which states that in order to ensure transparency, data controllers may find it worthwhile to apply a two-tier information approach.

(39)

The Applicant attached three photographs to their submission dated July 25, 2022, which, according to the metadata, were taken around 16:30 on June 29, 2022, with an iPhone 7 device. The images show the installed cameras, as well as the reception building from the outside. At this time, there was no visible sign or indication of camera data processing on the reception building. According to the photographs submitted by the Applicant, which were taken on January 4, 2023, it is evident that the warning sign for camera data processing was placed on a small window below the sign "RECEPTION" on the outer wall of the reception building; however, the

² https://edpb.europa.eu/our-work-tools/our-documents/guidelines/guidelines-32019-processing-personal-data-through-video_en

9

According to the photograph submitted by the Applicant, taken on June 29, 2022, the sign had not yet been placed at that time.

(40)

Consequently, the Authority establishes that the Respondent violated Article 13 of the GDPR by failing to provide any prior information regarding the data processing carried out through the camera system to the Applicant and other affected parties.

(41)

The Respondent attached the document titled "Privacy Policy" to its statement sent via email on January 4, 2023 (NAIH-372/2023), and again submitted on February 5, 2023 (NAIH-372-5/2023). The document has the subtitle "Camera Policy," and the date indicated is May 14, 2022. According to the Authority's position – even if we accept that the policy was indeed created on the date specified – it does not affect the fact that the signs alerting to the camera data processing were not placed on the Hotel premises on June 29, 2022, meaning that the information to the affected parties was not provided. The Authority also notes that according to the data in the Word file submitted by the Respondent, which contains the policy, the last modification date was January 4, 2023.

(42)

The first paragraph of the policy/information states: "This data protection - data processing policy (hereinafter: 'Policy') aims to inform the widest possible audience regarding the management, use, transfer of data stored on the website of {...} Company (headquarters: {...}; electronic mailing address: {...}; tax number: {...}; hereinafter: 'Data Controller') and the registration with the Data Controller." Following this is the subtitle "Camera Policy." In this paragraph, it is not specified which website the Respondent refers to regarding data processing, and there is no connection between camera data processing and any potential data processing on a website; therefore, this is a confusing element in the policy used as information, which undermines the clarity and transparency of the information.

(43)

Under the heading "Purpose of the Policy," the following is stated: "The purpose of this policy (hereinafter: 'Policy') is to ensure that {...}, as the data controller and employer (hereinafter:

'Institution'), applies the electronic image monitoring system installed at its headquarters in accordance with European Union and Hungarian legal regulations regarding the informational self-determination rights of the affected persons (including the Institution's employees and individuals in other employment relationships with the Institution, hereinafter: 'Employees'; as well as patients and other visitors to the Institution, collectively referred to as 'Affected Parties'), transparently and fully respecting the constitutional and personal rights of the Affected Parties."

(44)

According to the above, under the heading "Purpose of the Policy," the Respondent states that the policy pertains to the electronic monitoring system operated at the Respondent's headquarters. According to the data in the company registry, the Respondent's headquarters has been located at the following address since December 31, 2007: {...}, while the Hotel's address is {...}. Furthermore, detailing the circle of affected parties does not contribute to the understandability and transparency of the policy used as information.

(45)

As an additional purpose of the policy, it is stated that it aims to define "the rules of data processing related to the operation of the surveillance camera system," such as "the rules regarding data recording, the stipulations for the use of recorded data, the order of data transfer and access rights, and the obligation to delete data." These are not interpretable objectives considering that, based on the statements of the Respondent and the Police, as well as the evidence submitted by the Respondent, the cameras do not record images or sounds. Therefore, this paragraph of the information is misleading and does not reflect the actual situation.

10

(46)

In the information document under the heading "Scope of the Regulation," it states that the territorial scope of the regulation extends to the areas monitored by the camera operated by the Applicant. The Authority's position is that this is not sufficiently precise wording; it does not clarify that, as previously referenced in the regulation, it refers to the areas monitored by cameras operated at the Applicant's headquarters or on the Hotel premises. The definition of "Area" included in the interpretative provisions also does not help in understanding exactly where the data processing through the operated camera system falls within the scope of the information document. The definition of "Area" in the information document reads: "An area within the jurisdiction of the Institution that can be identified in the land registry as a plot of land used by the Institution (or as an operational area within it)."

(47)

The section on personal scope is also confusing, stating that the personal scope extends to individuals in an employment relationship with the Applicant's "institution," as well as to patients and visiting natural persons at the Institution. The Authority's position is that there is no need for any differentiation among the affected parties during data processing conducted through the camera system operated for security purposes; furthermore, the term "patients" is meaningless in relation to the Hotel, as the Applicant does not provide any medical or other healthcare services on the Hotel premises.

(48)

Among the legal regulations to be considered, the information document names Act CXXXIII of 2005 on personal and property protection, as well as private investigation activities (hereinafter: Szvtv.), which was indeed applicable to data processing through the operation of the camera system before the GDPR became applicable. However, the legislator repealed and significantly amended the relevant provisions of this regulation – § 31 – on April 26, 2019. Later, under the "Information" section, the Applicant also refers to § 28 (2) c) of the Szvtv. This provision is still in effect; however, it pertains to security guards and is not applicable in relation to the activities performed by the Applicant. Thus, the provisions of the Szvtv. are irrelevant concerning the camera data processing operated by the Applicant on the Hotel premises. The Authority's guidelines and recommendations issued before the applicability of the GDPR, which the Applicant mentioned in the information document, are also irrelevant.

(49)

Under the heading "System Structure," the Applicant informs the affected parties that the surveillance camera system consists of cameras placed in the area, as well as a central monitoring and recording room, equipped with the necessary tools and technical solutions. This also contradicts the facts established during the procedure, which state that the camera system operated by the Applicant does not record images, a fact that is also emphasized in bold in the information document under the heading "Central Room."

(50)

Subsequently, under the heading "Purpose of Operating the System," the monitoring of employees is mentioned, and the already repealed provisions of the Szvtv. are presented. Under the heading "Operation of the Surveillance Camera System," the Applicant informs that the images transmitted by the surveillance camera system are "continuously monitored; [new line] are regularly monitored." During the monitoring period, it is stated that "they are occasionally monitored."

(51)

Following this, there is a new section titled "Terms" without numbering, which is followed by the chapter titled "Rules on Data Processing and Data Handling." Here, the text cites § 5 (1) of the Infotv. effective until July 25, 2018, and then the following sentence appears: "The data provided by the affected client during registration, as necessary and sufficient identification data for the service user, will be handled by the service provider according to Act CVIII of 2001, in relation to the provision of services related to the information society."

11

"manages the creation of contracts, the determination of their content, modification, monitoring of their performance, invoicing of the resulting considerations, as well as the enforcement of related claims." In relation to the data processing examined, this sentence is completely incomprehensible and does not relate in any way to the data processing carried out through the camera system.

(52) Following this, the regulation contains nearly three pages of irrelevant, incorrect, and false information regarding camera data processing, such as the designation of processed data as the names, email addresses, addresses, phone numbers, billing and ordering data of the data subjects, and it repeatedly mentions information society-related services, orders, and registrations in the notification, which are incomprehensible in the context of operating accommodation.

(53) The information regarding the rights of the data subjects does not align with the data processing carried out by the Applicant, nor with its nature; for example, it informs about the rights to rectification and deletion, which are incomprehensible in the case of live monitoring. In relation to the right to object, it cites Section 21 of the Infotv. effective until July 25, 2018, which results in the information being inconsistent with the applicable legislation, the GDPR. Furthermore, in terms of remedies, it only provides information about the possibility of turning to the court, without mentioning the option of turning to the Authority.

(54) Overall, it can be said about the regulation submitted by the Applicant, which is also used as a notification, that it is a document presumably compiled from internet sources, containing a negligible amount of information regarding the specific data processing carried out through the camera system. The text is incoherent and largely misleading, containing information that does not correspond to reality; the nature of the data processing cannot be discerned from it. For example, in several places, the notification refers to recordings being made through the cameras, while elsewhere it explicitly states that no recordings are made. The requirements for transparency and comprehensibility are also not met when, under the title Camera Regulation, information is provided about data processing unrelated to camera data processing, which is not carried out by the Applicant – data processing related to information society services – and the text uses the term "patient" in several instances, although this is not justified by the services provided by the Applicant, as well as referring to supervisory services under the title "cameras placed in the area."

(55) The notification does not reveal exactly where – municipality, street, house number – the camera system is located, nor where the data processing discussed in the notification takes place. Furthermore, it does not present where the individual cameras are located, what their field of view is, etc.

(56) Additionally, the Authority has formal objections regarding the notification; its numbering is chaotic and not traceable, there are eight instances of point 1, and at times one point 1 is followed directly by point 6.1 or 10.2. As a result, the text is not structured, not comprehensible, and the structural layout does not aid understanding; it is a hastily prepared document produced by the Applicant to formally fulfill the information obligation.

(57) Furthermore, according to the guidelines on transparency under Regulation (EU) 2016/679 of the Article 29 Working Party (WP260), information is easily accessible when the data subject does not have to search for it; it must be immediately apparent to them where and how they can access the information, for example, by directly providing the information, the

12

by guiding the data subjects to information or by clearly marking the path leading to the information. According to point 11 of the guidelines on transparency, data controllers who have a website can make information about data processing easily accessible by making it available on their website. A direct reference to this privacy statement or information must be clearly visible on every page of the website.

(58) On the Hotel's website – {...} – no data processing information has been placed, including the camera data processing information. Therefore, the Respondent did not draw the attention of guests or potential guests on the website to the fact that a camera surveillance system operates on the hotel premises, so that they could take data processing into account when making a reservation, and that guests could easily access information about data processing without involving hotel staff if necessary. Furthermore, the Respondent did not make the information about camera data processing easily accessible within the hotel; it was not posted in a clearly visible and easily accessible location, meaning that in the absence of active behavior from the data subjects, the essential elements of data processing are not recognizable to the data subjects. Based on this, the Authority finds that the information related to data processing, as required by Article 13 of the GDPR, was not made easily accessible to any data subject by the Respondent, which is contrary to Article 12(1) of the GDPR.

(59) In light of all this, the Authority finds that the Respondent violated Article 12(1) and Article 13 of the GDPR.

(60) The Authority further notes that the 3/2019 guideline alone does not consider the placement of signs alerting to camera data processing as a sufficient measure if it does not contain additional minimal information: the identity of the data controller, the purpose of data processing, the rights of data subjects, information regarding the greatest impacts of data processing, e.g., the legitimate interest of the data controller related to data processing. It must also include the availability of the complete information. The signs placed by the Respondent do not meet this requirement.

IV.2. Assessment of the Applicant's request for the release of camera footage

(61) In the request for the data protection authority procedure, the Applicant requested that the Authority oblige the Respondent to provide the camera footage concerning them.

(62) A prerequisite for the fulfillment of this request is that the cameras operated by the Respondent record, i.e., there must exist footage that can be provided to the Applicant. Based on the information presented in the facts – the Respondent's statement, the attached screenshots of the camera system, as well as the statement from the Police and the protocol they attached – the Authority concluded that the cameras operated by the Respondent do not record images and/or sound, thus the Applicant's request is directed towards the impossible.

(63) According to Section 47(1)(c) of the Ákr., the Authority shall terminate the procedure if it has become unnecessary. Considering that the Applicant's request cannot be fulfilled due to the objective

reason of the absence of footage, no further outcome is expected from the continuation of the procedure regarding this legal consequence, thus the Authority terminated the procedure in this part of the request based on Section 47(1)(c) of the Ákr.

13

IV.3. Consequences of Exceeding the Deadline

(64)

According to Section 60/A (1) of the Infotv., the administrative processing time in data protection authority proceedings is 150 days. In the present data protection authority proceeding, the Applicant's request was completed on July 22, 2022, meaning it was suitable for processing, thus the start date of the current proceeding was July 23, 2022. The administrative deadline expired on December 19, 2022.

(65)

According to point b) of Section 51 of the Ákr., if the authority exceeds the administrative deadline, it must pay the applicant client an amount corresponding to the fee or charge for conducting the proceeding, or in the absence of such, ten thousand forints, and the applicant is also exempt from paying procedural costs. Consequently, since the Authority's procedure is free of fees and charges, the Applicant is entitled to ten thousand forints – to be specified in writing according to their choice – either by bank transfer or via postal money order.

IV.4. Legal Consequences

(66)

The Authority establishes at the request of the Applicant that the Respondent violated Article 12 (1) and Article 13 of the GDPR.

(67)

The Authority, ex officio, instructs the Respondent, based on point d) of Article 58 (2) of the GDPR, to modify its information practices related to camera data processing in such a way that it fully complies with the provisions of Article 12 (1) and Article 13 of the GDPR, and to take into account the guidance document No. 3/2019 and the opinion of the WP260 working group referenced in the Decision regarding the accessibility of information when developing the information practices.

(68)

Based on Section 75/A of the Infotv., the Authority exercises its powers as stipulated in paragraphs 2-6 of Article 83 of the General Data Protection Regulation, taking into account the principle of proportionality, particularly in cases of first-time violations of the provisions regarding the processing of personal data as defined in legislation or in mandatory legal acts of the European Union, the Authority primarily acts by warning the data controller or processor in accordance with Article 58 of the General Data Protection Regulation.

(69)

In this context, the Authority considered all circumstances of the case based on paragraph 2 of Article 83 of the General Data Protection Regulation and Section 75/A of the Infotv. Given the circumstances of the case and the nature of the data processing, the Authority determined that in the case of the violation uncovered during the current proceeding, a warning would neither be proportional nor serve as a deterrent sanction; therefore, the Authority decided to impose a fine in accordance with point a) of Section 61 (1) of the Infotv., based on point i) of Article 58 (2) of the GDPR.

(70)

In determining the amount of the fine, the Authority took into account the provisions contained in the European Data Protection Board's guidance document No. 4/2022 (hereinafter: Guidance), which outlines the calculation criteria for administrative fines under the General Data Protection Regulation. Accordingly, the amount of the fine was determined based on the following criteria:

a. The violations committed by the Respondent – the infringement of Article 12 (1) and Article 13 of the GDPR – are classified as more severe violations that fall into the higher fine category according to point b) of paragraph 5 of Article 83 of the GDPR.

b. To determine the severity of the infringement, the Guidelines specify the factors to be considered.

a. Regarding the nature of the infringement, it must be examined what interest the violated provision serves to protect. In the specific case, the Authority identified a violation of Article 12(1) and Article 13 of the GDPR. Article 13 of the GDPR is intended to ensure that data subjects receive information about the circumstances of the processing of their personal data even before the processing takes place, thereby ensuring the exercise of the right to informational self-determination. The requirement for transparency under Article 12(1) of the GDPR is partly related to this right of the data subjects, one of whose aims is to ensure that the information provided under Article 13 of the GDPR is clear, concise, and easily accessible to the data subjects. If these provisions of the GDPR are violated, it results in the data subjects not receiving meaningful, transparent information about the processing of their personal data. The Authority considers this as a factor increasing the severity of the infringement.

b. In terms of the severity of the infringement, the Guidelines name the nature of the data processing as a factor to be examined, i.e., its geographical scope, the riskiness of the data processing, the negative impact on the data subject, and the relationship between the data subject and the data controller. The identified infringement was committed by the Applicant in the course of activities carried out in Hungary, and the related data processing activity is considered to be of low risk, particularly because the cameras operated by the Applicant do not record, but only display live images, and only the service buildings of the Hotel and its surroundings fall within their field of view, while the apartments themselves do not. The Applicant did not suffer significant disadvantage as a result of the infringement, and according to the data available to the Authority, the Applicant does not belong to a particularly protected group of data subjects, nor is there a hierarchical relationship between the Applicant and the data controller.

The nature of the established infringement – Article 13 of the GDPR – implies that it generally affects not just one, but all natural persons involved in the data processing, i.e., all guests who stayed on the Hotel premises after the camera system was put into operation – on May 18, 2022 – until the date of the decision, as well as the employees of the Applicant. According to the Applicant's statement, this amounts to 2,346 individuals, meaning that the number of affected persons can be considered significant, which the Authority takes into account as a factor increasing the severity of the infringement.

c. The activities of the Applicant are primarily not aimed at the processing of personal data; this cannot be considered its main activity. However, for the provision of its services and the fulfillment of various legal requirements – e.g., billing data – the processing of certain personal data is essential. The Authority considers this circumstance as a mitigating factor regarding the severity of the infringement.

d. It should also be examined how long the infringement has existed or how long it has been ongoing. Based on the invoice attached by the Applicant regarding the commissioning and the statement of the Applicant, the camera system was put into operation on May 18, 2022, which is a little more than a month before the Applicant...

The Authority has been approached, meaning that at this point the infringement had only recently occurred, thus the Authority considers this as a mitigating factor regarding the severity of the infringement.

e. According to the Authority, the Applicant committed the infringement negligently, and no circumstances indicating intent were uncovered during the Authority's proceedings, therefore the Authority considers this as a mitigating factor regarding the severity of the infringement.

f. In determining the severity of the infringement, the Authority also takes into account that the infringement does not affect special categories of personal data, which is also assessed as a mitigating circumstance regarding the severity of the infringement.

g. Based on all these aspects – although the nature of the infringement is considered a more serious violation – the Authority has concluded that the infringements committed by the Applicant are of medium severity, meaning that the starting point for calculating the fine is 10-20% of the maximum fine that can be imposed.

(71) The Authority evaluated as a mitigating circumstance during the imposition of the fine that this is the first time the Applicant has violated the provisions of the GDPR [Article 83(2)(e) of the GDPR].

(72) The Authority considers it a reducing factor for the amount of the fine that the Authority exceeded the administrative deadline [Article 83(2)(k) of the GDPR].

(73) The Authority considers it an aggravating factor for the amount of the fine that the Applicant falsely stated when the warning signs for camera surveillance were placed, as according to the photographs submitted by the applicant, these signs had not yet been placed during their stay at the accommodation [Article 83(2)(k) of the GDPR].

(74) The Authority evaluates Article 83(2)(h) of the GDPR as a neutral circumstance during the imposition of the fine, while the circumstances under points (i) and (j) were deemed not relevant, as they cannot be interpreted in the context of the specific case.

(75) In determining the amount of the fine, the Authority took into account additional calculation aspects according to the Guidelines.

a. The Applicant committed two different infringements with one behavior [Article 12(1); Article 13] – point 3.1.2 of the Guidelines uses the term "unity of actions" – thus, according to Article 83(3) of the GDPR, the total amount of the fine cannot exceed the amount determined for the most serious infringement, and the infringements and their severity are assessed together.

b. According to the Applicant's report, their net revenue in 2022 was ...one hundred thirty million... forints. The imposed fine is ...0.76...% of the net revenue.

c. Based on the provisions of Article 83(5) of the GDPR, in the case of the infringements committed, the Applicant is subject to an administrative fine of "up to 20,000,000 EUR [static maximum fine], or in the case of enterprises, an amount not exceeding 4% of the total annual global turnover of the previous financial year [dynamic maximum fine], with the higher amount being imposed."

16

d. The net revenue of the Applicant for the year 2022 is 4%... five million... forints, which corresponds to ... 13,000 ... euros at an exchange rate of 1 EUR = 378 HUF, meaning it does not reach the static maximum fine defined by Article 83 (5) of the GDPR, which is the equivalent of 20,000,000 euros. Since the fine must be calculated and proportioned based on the higher category that can be imposed in the given case, the Applicant may be subject to a fine of up to the equivalent of 20,000,000 euros, considering that the 4% of the Applicant's net revenue and the static maximum fine, the latter being the higher amount.

e. The severity of the violations established by the Authority is medium; therefore, according to the annex of the Guidelines, the amount serving as the basis for the fine calculation should be determined at 10-20% of the applicable maximum fine. In this specific case, this amounts to 2-4 million euros.

f. According to the directive, the starting amount calculated based on the maximum fines should be adjusted considering the revenue of the data controller. Given that the Applicant's net revenue for the previous year did not exceed 2 million euros, the basis for the fine calculation is 0.2-0.4% of the maximum fine determined based on the severity of the violation, which is 4-16,000 euros, corresponding to 1,512,504 - 6,050,208 HUF at the above exchange rate.

g. The Authority considers it proportionate to impose a fine close to the minimum fine in this case,

given the medium severity of the violation and with particular attention to the fact that the Applicant is a small enterprise that has violated the provisions of the GDPR for the first time.

h. Nevertheless, the Authority's position is that the imposed fine is effective and has an incentive effect for the Applicant to bring its data processing into compliance with the provisions of the GDPR.

(76) The amount of the fine was determined by the Authority in the exercise of its discretion based on legislation.

(77) Based on all of the above, the Authority decided as stated in the operative part.

V. Other Issues

(78) The Authority's jurisdiction is defined by Section 38 (2) and (2a) of the Infotv., and its competence extends to the entire territory of the country.

(79) The decision is based on Sections 80-81 of the Ákr. The decision becomes final upon its communication according to Section 82 (1) of the Ákr.

(80) According to Section 112 of the Ákr., and Section 116 (1), as well as Section 114 (1), there is a right to legal remedy against the decision and the terminating order through administrative litigation.

(81) The rules of administrative litigation are defined by Act I of 2017 on Administrative Litigation (hereinafter: Kp.). According to Section 12 (1) of the Kp., administrative litigation against the Authority's decision falls under the jurisdiction of the court, and based on Section 13 (3) a) aa) of the Kp., the Metropolitan Court is exclusively competent for the litigation. According to Section 27 (1) b) of the Kp., legal representation is mandatory in cases falling under the jurisdiction of the court. According to Section 39 (6) of the Kp., the submission of the statement of claim does not have a suspensive effect on the enforcement of the administrative act.

(82) The time and place for submitting the statement of claim are determined by Section 39 (1) of the Kp. Information regarding the possibility of requesting a hearing is based on Sections 77 (1)-(2) of the Kp. The amount of the administrative litigation fee is determined by Section 45/A (1) of Act XCIII of 1990 on Fees (hereinafter: Itv.). The party initiating the proceedings is exempt from the prior payment of the fee under Section 59 (1) and Section 62 (1) h) of the Itv.

Budapest, according to electronic signature

Dr. habil. Péterfalvi Attila, in the absence of the president:

Dr. Bendik Tamás
general vice president